

HEADLINE JUDGMENT

Note: 22 Jun figures are intraday prints; 19 Jun is the prior close — a US bond-market holiday (Juneteenth), so Treasury yields are carried from 18 Jun while oil and TTF traded. Bloomberg's restated continuation series in force throughout. **Score FALLS to 21/30 — exiting the crisis band (22–30) into the systemic-risk-watch band (15–21) for the first time since the war began on 28 Feb — as escalation-risk reverts 4→3 on the formally signed, in-effect peace deal. Update vs prior editions:** the formal signing came earlier and elsewhere than the expected Friday Geneva ceremony — Trump and Iranian President Pezeshkian physically signed the MOU on 17 Jun at the Palace of Versailles (after the G7), and Iran's foreign-ministry spokesman Baghaei said it "has gone into effect." The 19 Jun Geneva event was downgraded to technical implementation talks. **The reopening is underway:** commercial Hormuz traffic has risen sharply (ship-tracking), Pakistan said the US blockade "will cease immediately" and Iran will "promptly reopen" the strait, and a renewed Israel-Hezbollah ceasefire was announced 19 Jun — sustained calm. **It is a one-notch revert (to 3, not lower):** the Geneva talks are fragile (VP Vance postponed his trip; Iran's delegation is hesitant, citing Lebanon; a senior US official says any failure would show "within days or weeks"), Iran floated a Hormuz "service fee" vs the US toll-free pledge, shippers want "30 days incident-free," and the 60-day nuclear/sanctions phase is the hard part. **The hawkish Fed still pins the macro channels:** US-inflation (4) and Treasury (4) hold — 2Y +14 bp w/w, dollar >100.8, the curve at its flattest of the series (2s10s +26 bp), 5Y5Y whipsawing at 2.20%; oil holds at 2 (~\$79). Maritime →3 awaits verified sustained traffic recovery. Sequencing 23 → 23 → 22 → 22 → 21.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

22 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 19 Jun and earlier are final closes (19 Jun = Juneteenth holiday; rates carried). d/d deltas are 22 Jun intraday vs 19 Jun close; w/w deltas are vs 15 Jun close.

Benchmark	Intraday 22 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$78.98 /bbl	−\$1.07 (−\$3.26 w/w)	from \$72.48 (+9.0%) — eased back below \$80 after a \$80.05 close 19 Jun; risk premium ~\$6.5/bbl	CO1 Comdty
Brent · intraday range 22 Jun	H \$81.65 / L \$78.93	spiked then faded — reopening-progress headlines vs a firmer dollar		CO1 Comdty
WTI front-month	\$75.68 /bbl	−\$0.17 (−\$3.76 w/w)	from \$67.02 (+12.9%) — mid-\$70s	CL1 Comdty
Brent–WTI spread	\$3.30 /bbl	flat d/d	steady	derived
Henry Hub natural gas	\$3.29 /MMBtu	+\$0.06 (+\$0.15 w/w)	from \$3.06 (+7.5%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€42.65 /MWh	+€0.55 (+€0.14 w/w)	from €31.23 (+36.6%) — stabilizing after the deal-driven fall	TZTA Comdty
Japan/Asia LNG (19 Jun print)	¥2,463	−¥22 vs 18 Jun	from ¥1,669 (+47.6%) — grinding lower toward the deal	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now well stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

22 Jun 2026 yields are intraday. d/d deltas are vs the 18 Jun close (19 Jun was a Juneteenth holiday — rates carried); w/w deltas are vs 15 Jun close. The complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 22 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.21	+3.2	+14.2	+83 (from 3.37%) — highest in over a year on the hawkish FOMC	USGG2YR Index
5-year UST	4.26	+2.5	+6.7	+76 (from 3.50%)	USGG5YR Index
10-year UST	4.48	+2.2	+0.2	+54 (from 3.94%) — 17.5 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.92	+1.8	−6.3	+31 (from 4.61%) — below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+26 bp	−0.6	−13.6	−29 (flattest of the series — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.27 (19 Jun)	—	−5.0	+1 (from 2.26%) — back to pre-war	USGGBE10 Index
5Y5Y forward inflation	2.21	+2.1	−1.0	+6 (from 2.14%) — whipsawing at 2.20% (2.1862% close 18 Jun → 2.2065% intraday)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	100.83	22 Jun intraday	+3.22 (from 97.61)	Holding >100.8 (+1.20 w/w) after the hawkish-FOMC surge — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	65.39	18 Jun (lagged)	-7.99 (from 73.38)	Reversed the FOMC spike (70.66→65.39), back at the 65 leg of the Treasury →3 trigger — but the 30Y leg (<4.50%) is unmet. Far below the 130 Stage-4 level.
VIX (equity vol)	16.78	19 Jun (lagged)	-3.08 (from 19.86)	Holding near a conflict low — risk-on as the deal takes effect and calm holds.
US gasoline retail avg	\$4.60 /gal	18 Jun (latest print)	+\$1.08 (from \$3.52, +31%)	Below the \$4.75 threshold (political-stress at 4); still grinding down with crude toward the \$3.52 pre-war level.

Strait operational state

Indicator	Current reading	Source
MOU signed & in effect (17 Jun)	Trump and Iranian President Pezeshkian physically signed the MOU at the Palace of Versailles after the G7; Iran's FM spokesman Baghaei said it "has gone into effect" and "it is time to test implementation."	Al Jazeera / RFE-RL / Wikipedia
Geneva — technical talks, not a signing	With the MOU already signed, the planned Friday Geneva ceremony was downgraded to technical implementation talks. VP Vance postponed his trip ("logistics"); Iran's delegation is hesitant, citing Israeli attacks in Lebanon; a senior US official says failure would show "within days or weeks."	Al Jazeera / RFE-RL
Strait reopening underway	Commercial traffic through Hormuz has risen sharply (ship-tracking); Pakistan said the blockade "will cease immediately" and Iran will "promptly reopen" the strait; Trump says ships are already moving. Shippers stay cautious — "30 days incident-free," mine clearance "weeks," full normalization "months."	Bloomberg / CNN / CFR
Lebanon — ceasefire renewed (19 Jun)	A renewed Israel-Hezbollah ceasefire (US/Qatar/Iran-brokered) was announced 19 Jun after Israeli airstrikes; the MOU covers a stop to operations in Lebanon. The front flared then re-calmed — fragile.	RFE-RL / NPR
Service-fee dispute	Iran's Baghaei said Iran will set a new Hormuz regime with Oman and "charge fees for services" — against the US "permanently toll-free" pledge. A live implementation friction.	Al Jazeera / CFR
Open issues / FOMC overlay	The MOU is interim — a "deal" only at the end of the 60-day nuclear/sanctions talks. Iran SL Mojtaba Khamenei "initially disagreed" but accepted; China welcomed it. The 17 Jun hawkish FOMC (dots to 3.8%, 9/18 hiking) keeps US rates firm.	RFE-RL / CNN / Fed

2 · US economic shock — analysis with bond yields

The US economic shock leaves the crisis band for the first time since late February, to **21/30 — the top of the systemic-risk-watch band** — as the peace deal is signed and in effect and the strait reopening gets under way (escalation 4→3). The remaining elevation is split between the geopolitical channels still normalizing (maritime as traffic recovers; oil as the premium drains) and a rates/inflation pair pinned by a hawkish Fed responding to a 4.2% CPI. No Stage-4 signal; the dollar is firm on higher-for-longer policy, not breaking.

2.1 · Bond-yield transmission

22 Jun yields are intraday; d/d vs the 18 Jun close (19 Jun Juneteenth holiday), w/w vs 15 Jun. **Escalation reverted 4→3; score 22→21.** The rates complex still reflects the hawkish FOMC: 2Y +14.2 bp w/w to 4.2085%, the curve at its flattest of the series (2s10s +26 bp, -13.6 bp w/w), the dollar >100.8. The long end is easier (30Y -6.3 bp w/w to 4.9154%).

(i) Inflation anchor — whipsawing at the trigger; held at 4. 5Y5Y closed 2.1862% on 18 Jun (below 2.20%, hawkish-Fed-led) and is 2.2065% intraday — the now-familiar oscillation at the line. 10Y breakeven is back to the 2.27% pre-war level. The sub-2.20% prints have not sustained, so US-inflation holds at 4; a sustained move toward the 2.142% pre-war anchor takes it to 3.

(ii) Long-end — below 5.00%, but Treasury →3 blocked. 30Y at 4.9154% sits below 5.00% and MOVE at 65.39 is back at the 65 leg — but the other leg (30Y <4.50%) is far off, so the Treasury →3 downgrade is blocked. The hawkish Fed keeps the front end elevated (2Y 4.21%, highest in over a year). 10Y at 4.4750% is 17.5 bp below the 4.65% trigger.

(iii) Oil — holds at 2 just below \$80. Close path: \$78.67 (16 Jun) → \$79.23 (17) → \$79.51 (18) → \$80.05 (19, signing aftermath) → \$78.98 intraday (22 Jun); the intraday ranged \$81.65–\$78.93 on reopening headlines. Risk premium ~\$6.5/bbl (+9.0% vs pre-war). Holds at 2; a sustained grind toward the \$72.48 pre-war level as the strait normalizes takes it to 1.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the signed deal has moved the complex far from it; the hawkish Fed lifts the front end but not the long-end-stress metrics that define Stage 4.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 5.00% and bond vol below pre-war, upcoming coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.9154% is 28 bp below the 5.20% trigger; 10Y 4.4750% is 17.5 bp below 4.65% — the hawkish move sits in the front end.

Threshold C · MOVE above 130. Contained. MOVE 65.39 and VIX 16.78 are both well below pre-war. Both far below Stage-4 levels. HY OAS not in the BBG sheet — the risk-on tone (equities near records on the deal) argues for tightening.

2.3 · Cross-asset

The split persists: the hawkish Fed holds the dollar (>100.8) and front end firm and the curve flat, while the war premium drains from oil, gas and the long end as the deal takes effect. VIX near a conflict low and equities near records capture the geopolitical relief; the firmer 2Y and dollar capture higher-for-longer policy. The score's residual 21 is now two-thirds structural-geopolitical (maritime 4, oil 2, escalation 3 — all still normalizing) and one-third Fed-pinned macro (US-inflation 4, Treasury 4).

3 · Shock score

Total: **21/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. Blockade ceasing and commercial traffic rising sharply, but recovery is early — shippers want “30 days incident-free,” mine clearance is “weeks,” full normalization “months.” Not yet >25% for 10 sessions.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3 (approaching).
Oil price shock	2/5	Held at 2. Brent \$80.05 close (19 Jun) → \$78.98 intraday; risk premium ~\$6.5/bbl (+9.0% vs pre-war), oscillating at \$80 as the reopening is priced gradually.	↑ Brent >\$95 sustained → back to 3. ↓ Brent toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	4/5	Held at 4 — whipsaw + hawkish Fed. 5Y5Y 2.1862% close (18 Jun) → 2.2065% intraday; 10Y BE back to 2.27% pre-war. The hawkish FOMC (CPI 4.2%) keeps the impulse from clearing toward 3.	↑ 5Y5Y clearly rising >2.20% → back to 5. ↓ 5Y5Y ≤2.20% toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	Held at 4 — Fed-pinned. 30Y 4.9154% (<5.00%) with MOVE 65.39 (at the 65 leg) — but 30Y is far above the 4.50% leg, so →3 is blocked. Hawkish dots (3.8% median) keep the front end firm.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.60 (18 Jun), below the \$4.75 threshold and still falling with crude on a ~17-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	REVERTED 4→3. The MOU is formally signed (17 Jun, Versailles) and in effect; the strait reopening is under way; a renewed Israel–Hezbollah ceasefire (19 Jun) held the weekend. Not lower: Geneva talks are fragile, a service-fee dispute is live, and the 60-day nuclear phase is unresolved.	↑ deal collapse / fresh strikes → back to 4–5. ↓ 60-day talks complete + sustained normalization → to 2.
TOTAL	21/30	Exits the crisis band (22→21) into systemic-risk-watch (15–21) — first time since 28 Feb. Escalation reverted on the signed, in-effect deal. The bias stays down: maritime →3 (traffic recovery) and oil →1 (toward \$72.48) would carry the score deeper into the band — but the hawkish Fed pins US-inflation and Treasury at 4.	

4 · What's changed since the last edition (18 Jun AM → 22 Jun AM)

Score falls to 21/30 — out of the crisis band. Escalation-risk reverted 4→3 on the formally signed, in-effect peace deal; the monitor enters the systemic-risk-watch band (15–21) for the first time since the war began. Source: Bloomberg / news wires.

MOU signed at Versailles (17 Jun), in effect. Trump and President Pezeshkian physically signed after the G7; Iran's FM spokesman said it “has gone into effect.” This came earlier and elsewhere than the expected Friday Geneva ceremony, which became technical implementation talks. Source: Al Jazeera / RFE-RL.

Reopening under way; calm held. Commercial Hormuz traffic rose sharply; the blockade is ceasing; a renewed Israel–Hezbollah ceasefire was announced 19 Jun. Shippers stay cautious (“30 days incident-free”; mine clearance “weeks”). Source: Bloomberg / RFE-RL / CNN.

Frictions keep it at 3, not lower. Geneva technical talks are fragile (Vance postponed; Iran delegation hesitant over Lebanon; failure would show “days or weeks”); Iran floated a Hormuz “service fee” vs the US toll-free pledge; the 60-day nuclear/sanctions phase is unresolved. Source: Al Jazeera / RFE-RL / CFR.

Hawkish Fed still pins the macro channels. The 17 Jun FOMC (dots to 3.8%, 9/18 hiking) keeps 2Y firm (+14 bp w/w), the dollar >100.8 and the curve flattest of the series; 5Y5Y whipsaws at 2.20%. US-inflation and Treasury hold at 4. Source: Bloomberg / Fed.

18 Jun close & Juneteenth. The 18 Jun close bounced oil (Brent \$79.51) and reversed the FOMC vol spike (MOVE 70.66→65.39); 19 Jun was a US bond holiday (rates carried), Brent \$80.05 in the signing aftermath (\$9). Source: Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait normalizes, talks progress	62%	The MOU holds; traffic recovers over weeks–months; the 60-day nuclear/sanctions talks advance. New base case now that the deal is signed and in effect.	Brent \$66–80; 30Y 4.6–4.9%; MOVE <70; score normalizes deeper into 15–21 and toward the stress band.
Slow / partial implementation	28%	Ceasefire holds and the strait reopens, but normalization is gradual — mine clearance, insurance, and an Iranian ‘service fee’ dispute slow commercial recovery.	Brent \$76–86; yields stable; residual risk premium ~\$4–7/bbl; maritime stays at 4 longer.
Implementation breakdown (60-day window)	7%	Geneva technical talks fail or the nuclear/HEU, sanctions or service-fee terms snag — “within days or weeks” — stalling the deal without a full return to war.	Brent \$84–96; yields drift up; risk premium rebuilds toward \$10–15/bbl; escalation back to 4.
Ceasefire breakdown / re-escalation	2%	A provision collapses — Lebanon the most likely trigger — and strikes resume despite the signed MOU.	Brent \$108–128; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/mined. Tail risk, much reduced by the signed, in-effect deal.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

The map is recast now that the MOU is signed and in effect: the 'signing stumble' case is retired and replaced by an 'implementation breakdown in the 60-day window' (7%) — the Geneva talks, service-fee and nuclear terms are where it could still go wrong, on the US official's "days or weeks" timeline. Deal-holds normalization rises to 62% and slow/partial to 28%; the war-relapse tails fall to a combined 3%. The hawkish Fed does not change the geopolitical path but caps how far the rates/inflation channels can normalize.

6 · Watchlist · next 24–72 hours

Geneva technical talks — the next pivot. Converting the MOU into an implementation plan; Vance postponed his trip and Iran's delegation is hesitant (Lebanon). A senior US official says any failure would show "within days or weeks" — success keeps escalation at 3 and supports the maritime downgrade; failure risks a move back to 4.

Strait traffic recovery — maritime to 3. Traffic is rising sharply; once it holds >25% of normal for ten sessions (with mine clearance and shippers past their "30 days incident-free" bar), maritime-denial moves 4→3 — the next leg down.

Oil toward pre-war — oil to 1. Brent ~\$79, risk premium ~\$6.5/bbl. A sustained grind toward the \$72.48 pre-war level as the strait normalizes takes the oil channel 2→1.

Hawkish-Fed aftermath. The dots (3.8% median, 9/18 hiking) and a >100.8 dollar pin US-inflation and Treasury at 4; a Sept/Dec hike is heavily priced. Watch whether incoming CPI (running 4.2%) hardens or eases the higher-for-longer stance — it governs the rates-channel leg.

Hormuz 'service fee' dispute. Iran wants a fee-charging regime with Oman vs the US toll-free pledge; an unresolved friction that could slow normalization and feed the breakdown case.

Nuclear / sanctions (60-day). HEU disposition and sanctions relief are the hard phase; a snag is the main route to an implementation breakdown.

Lebanon. The 19 Jun Israel–Hezbollah ceasefire renewal is fragile (it followed fresh Israeli strikes); a relapse is the most likely ceasefire-breakdown trigger.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline). Note: 19 Jun = Juneteenth (US bond holiday); rates carried.

Tier 1 — news and institutional. Al Jazeera, RFE-RL, CNN, NPR, AP, Reuters, NBC, ABC, Bloomberg, CFR, FT, WSJ; Federal Reserve / CME FedWatch (17 Jun FOMC). The 17 Jun Versailles signing (Trump + Pezeshkian; "gone into effect," Iran FM spokesman Baghaei), the Geneva downgrade to technical talks and Vance's postponement, the sharp rise in commercial Hormuz traffic and blockade cessation, the 19 Jun Israel–Hezbollah ceasefire renewal, and the service-fee dispute via Al Jazeera / RFE-RL / CNN / CFR.

Tier 3 — state media (labelled). Iranian statements (MOU "in effect," a Hormuz service fee / "Iranian arrangements," SL Mojtaba Khamenei's acceptance) are labelled and corroborated against Al Jazeera / RFE-RL / Reuters; Mehr, Tasnim, Fars, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (19 Jun — a Juneteenth holiday with carried rates) and capture any restatement.
2	Recompute deltas	d/d vs prior close (rates effectively vs 18 Jun given the holiday); w/w vs the close five trading sessions back (w/w base = 15 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Escalation-risk is event-based — reverted 4→3 on the formally signed, in-effect MOU (17 Jun) plus reopening and sustained calm. Market/economic channels move on a confirmed close; none triggered (5Y5Y whipsaw held; the hawkish Fed pinned the macro pair).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 18 Jun close bounced oil and reversed the FOMC MOVE spike; 19 Jun rates were a holiday carry).
5	Update scenarios and watchlist	Recast around the signed deal; lead with the Geneva technical talks, strait-traffic recovery (maritime →3) and oil toward pre-war (oil →1).

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based. This edition escalation reverted 4→3 on the formally signed, in-effect MOU (17 Jun Versailles) with the reopening under way and sustained calm — the first exit from the crisis band since the war began. A hawkish FOMC continues to hold the rates/inflation pair at 4, an exogenous crosscurrent the analysis flags explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) 10Y breakeven, MOVE and VIX are at/through pre-war; Brent is +9.0%; the hawkish Fed holds the front end and dollar above pre-war.

Intraday & holiday caveat. The latest dated row is a Singapore-AM intraday snapshot; 19 Jun was a US bond-market holiday (Juneteenth), so Treasury yields are carried from 18 Jun while oil and TTF traded. Market-channel triggers are evaluated only on confirmed closes (the 5Y5Y sub-2.20% prints did not sustain); escalation-risk is event-based (the 17 Jun signing). This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.